## So, what sets Index Funds and ETFs apart?

While Index Funds and ETFs share similar portfolio construction, minor differences exist:

| Particulars | Index Funds | ETF |
|---|---|---|
| **How to invest** | Can be bought like any other equity mutual fund. | Has to be bought from stock exchanges. |
| **Minimum investment** | Rs 500 | 1 unit, price depends on per unit price of ETF chosen. |
| **Requisites** | Just need to get KYC verification done. | KYC verification + have a demat account. |
| **Liquidity** | Can buy and sell easily, anytime as liquidity is not an issue. | Need to consider Liquidity. |

## But, why is liquidity such a big thing to consider for ETFs?

**So, the reason is that ETFs are not very popular in India yet!**

**This lack of popularity leads to lower liquidity**, making it difficult to buy or sell ETF units at the market price, since there might not be a lot of buyers or sellers for it.

## b. Debt Mutual Funds

**Debt Mutual funds invest your money in instruments that earn a fixed income.** These instruments are in essence loans, where a company or government borrows money from the investors at a fixed interest for a specified period.